

Palantir Technologies Inc.

PLTR NYSE

Hold	\$175.66 ▲ 2.70%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$422.13B
------	------------------	------------------------------	--------------------------------------	-------------------------

PLTR: AI Defense Darling Priced for Perfection

WHAT HAPPENED

- PLTR popped 2.7% to \$175.66 on notably light volume (5.6M vs the usual 40-80M) — that thin tape tells me this is a drift higher on no real news, not conviction buying. The tech sector was up ~1% broadly, so PLTR just rode the wave.
- Ondas (a PLTR-backed drone company) reported revenue up 1,236% but wider losses — this is a sideshow but reinforces the "Palantir ecosystem" narrative that keeps retail excited.

WHY IT MATTERS

Here's what I'm actually thinking: the options market is bullish (put/call ratio 0.84, meaning traders are buying more upside bets than downside protection), but insiders — specifically CTO Shyam Sankar — are selling, which is a yellow flag when the stock is near 52-week highs. When smart money on the inside is trimming while retail piles into leveraged ETFs like PLTU (2x leveraged Palantir), that's usually late-cycle behavior. The Michael Burry "1987-style crash" headlines circulating today aren't PLTR-specific, but PLTR is exactly the kind of high-multiple momentum name that gets hit hardest in any risk-off event. Bottom line: the fundamentals are still great, but you're paying a premium price at a moment when the setup is fragile.

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 defense appropriations debate ramping up in Congress this fall — PLTR's Maven Smart System contract with the Army was expanded to \$1.3B+ and any DoD budget top-line increase directly feeds their pipeline. The Trump administration's continued push on "AI for government efficiency" (DOGE-style initiatives) is a clear tailwind since PLTR is the incumbent vendor for federal data integration. The wildcard is potential export control tightening on AI software to allies — if new rules restrict who PLTR can sell to internationally, their commercial growth story (currently the hotter segment) takes a hit.

IS IT EXPENSIVE?

This is where it gets uncomfortable — PLTR trades around 244x forward earnings, meaning you're paying \$244 for every \$1 of profit the company will make next year. For context, Microsoft trades around 35x and even Nvidia is around 40x. The only way this math works is if revenue keeps compounding 30%+ for years AND margins keep expanding — the business is delivering that right now, but there's zero room for a miss.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$175.66
12M Price Target	\$185.00
Upside / (Downside)	+5.3%
Market Cap	\$422.13B
FY2026E Revenue	\$4,800M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.72
FY2027E EPS	\$1.05
Fwd P/E	244.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$178.00	\$158.00
6 Months	\$220.00	\$185.00	\$140.00
1 Year	\$250.00	\$195.00	\$120.00
2 Years	\$320.00	\$230.00	\$100.00
5 Years	\$500.00	\$320.00	\$90.00
10 Years	\$900.00	\$500.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.9% over 5 days) is leading again, driven by AI capex momentum and continued government AI spending signals. Real Estate and Comm Services are catching a bid on rate-cut expectations.

COOLING OFF: Nothing is truly cooling today — everything's green — but Financials at just +0.3% is a tell that risk appetite is narrowing to tech/AI rather than broad-based.

ROTATION WATCH: Money is flowing into AI infrastructure and defense-tech names, which is exactly PLTR's sweet spot — but the light volume today suggests this is being driven by systematic/passive flows rather than active conviction.

RELATED PLAY: If you like the PLTR thesis but hate the multiple, look at defense primes like Lockheed or Raytheon that benefit from the same budget tailwind at a fraction of the P/E. Data center/power names (VST, CEG) also benefit from the AI compute buildout.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Broke out today per IBD — Azure AI revenue and government cloud contracts are humming, which validates the broader "AI-for-enterprise-and-government" thesis PLTR rides.
- NVDA (Nvidia): Continues to set the tone for AI sentiment; when NVDA is bid, PLTR gets bid.

PLTR CONTEXT: PLTR is at 69% of its 52-week range, meaning it's closer to highs than lows but not extended like some peers. It's participating in the AI rally but not leading it today — that's actually a healthy sign, but the low volume tells me buyers aren't aggressive here. Watch if PLTR can reclaim \$180 on real volume; if not, we drift.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I'm nervous about the price and the late-cycle vibes (insider selling, leveraged ETF launches, "buy the dip in a crash" headlines).

POSITION SIZE: 2-3% — this is a "own some, don't overdo it" name. The upside is real but a 30% drawdown wouldn't surprise me at all.

ENTRY POINTS: I'd rather add at \$150-160 on a macro fear day than chase at \$175. If it breaks \$200 on strong volume with a clear catalyst (like a defense bill signing), that changes the setup.

TIME HORIZON: 12-24 months, with the key catalyst being FY27 defense appropriations and continued commercial revenue acceleration into Q4.

WHEN TO BAIL: Two consecutive quarters where commercial revenue growth decelerates below 30%, OR a meaningful defense budget cut, OR the stock breaks and holds below \$140 (which would tell me the trend is broken).

HEDGING: Simplest approach — if you own 100 shares, buy 1 protective put option 10-15% out of the money expiring in 3-6 months. Think of it as insurance: it costs a small premium, but caps your downside if the market pukes. Alternatively, trim 25% of your position if it rips to \$200+ and reload lower.